Predictability of policymaking in a crisis environment

In peacetime, government operates off process manuals, and the private sector can predict how government will behave because the process manuals are in the public domain. In a crisis, however, there are no manuals.

As has been emphasized earlier, the key feature of crises is the fear in the minds of decision makers in financial firms. If the behaviour of government is unpredictable, this (in and of itself) is an additional source of risk.

While the private sector will always praise policymakers in public, there is a lack of trust in policy capacity in their eyes. Private persons keenly watch policymakers in a crisis, and wonder: *Does this person get what is going on? What does her self-interest lead her to do?* Policymakers often try to be positive, and say that things will be fine. They then run the risk of losing respect in the eyes of private persons. When there is mistrust of the policymakers, this generates greater fear.

This is where a coherent intellectual framework of policy becomes particularly important. As an example, the ‘Committee to save the world’ of 1997 (comprising Larry Summers, Ben Bernanke and Robert Rubin) had a shared philosophy that was widely understood by private persons. This induced predictability in crisis response. Even though we were on a journey without maps, with no clear process manuals that defined what should be done in the crisis, the private sector had a fair sense about how these policymakers would behave.

For this reason, it is not enough for policymakers to know what is going on. It is essential for policymakers to *display* that expertise, and communicate their intellectual framework, through white papers, speeches and committee reports. There is a long tradition in the Ministry of Finance, of the top twenty persons going out into conferences and seminars every week, to engage in a two-way street: To hear from experts about what is